

Interest rate – Applied by a lender and expressed in the form of a percentage.

Market price – The price paid for a home. It differs from market value in that it relates to an accomplished fact; market value is an estimate until it is proved.

Market value – The estimated amount for which a home is anticipated to sell.

Median price – Calculated for suburbs, and based on previous sales; the middle number when data is arranged from the lowest to the highest in sequence.

Mortgagee – The money lender.

Mortgagor – The borrower.

Owners' corporation – See **Body corporate**.

Passed in – If a property is not sold at auction because the owner's reserve price has not been reached, it is passed in and negotiations can take place.

Private treaty sale – A sale negotiated directly between a buyer, a vendor and the real estate agent.

Rates – Periodic property levies (e.g. water rates).

Reserve price – The lowest acceptable price for the property, which the vendor has the right to decide.

Residue – The difference between the purchase price and the deposit.

Sellers' market – This occurs when the pressures of supply and demand are such that sellers have an advantage over buyers.

Settlement date – On this day, the sale contract is finalised, the balance of money is paid for the home and the buyer takes legal possession.